

CONTRACTS: PROMISSORY ESTOPPEL AND RESTITUTION

Ricketts v. Scothorn - Feinberg v. Pfeiffer Co. - Cohen v. Cowles Media Co.
D & G Stout v. Bacardi Imports - Equitable Estoppel - Restitution - Restatement Section 90
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PART I - CASE BRIEFS

1. Ricketts v. Scothorn

57 Neb. 51, 77 N.W. 365 (1898). Supreme Court of Nebraska. Sullivan, J. No. 8326; filed December 8, 1898. Error from the District Court of Lancaster County, Holmes, J.

Parties

Plaintiff / defendant in error: Katie Scothorn, John C. Ricketts's granddaughter and a bookkeeper who left her employment after receiving his note. She obtained judgment enforcing the note. **Defendant / plaintiff in error:** Andrew D. Ricketts, executor of John C. Ricketts's estate. He resisted enforcement on the ground that the note lacked consideration. **Promisor:** John C. Ricketts, Katie's deceased grandfather and maker of the note.

Procedural History

Scothorn sued the executor in the District Court of Lancaster County on John C. Ricketts's promissory note. Her petition alleged that Ricketts gave the note to induce her to surrender her bookkeeping job and that she relied on the note and annual interest as a means of support. The executor denied those allegations and asserted lack of consideration. The material facts became undisputed at trial, and Scothorn recovered judgment.

The executor brought error to the Nebraska Supreme Court. He challenged the note's admission, the sufficiency of consideration, and the trial treatment of undisputed evidence. The supreme court agreed that the record required a directed result for one party. It concluded that equitable estoppel precluded the executor from asserting lack of consideration, treated any intervening trial error as harmless, and affirmed Scothorn's judgment.

Material Facts

On May 1, 1891, John C. Ricketts signed a note promising to pay Katie Scothorn \$2,000 on demand with six percent annual interest. Scothorn then worked as a bookkeeper for Mayer Brothers and earned \$10 per week.

Ricketts visited Scothorn at the store around nine in the morning, took the note from his vest, and told her he had arranged matters so that she would no longer have to work. He added that his other grandchildren did not work and that she did not have to work. Scothorn accepted the paper, kissed him, cried, and immediately told her employer that she intended to leave. She soon surrendered the position.

Scothorn's mother testified that Ricketts later explained that he gave the note so Scothorn could quit because he believed his granddaughter should enjoy the same freedom from employment as his other grandchildren. The note and the delivery conversation placed no express condition on payment. Scothorn made no return promise to leave Mayer Brothers, remain unemployed, or follow any other course of conduct.

Scothorn remained without an occupation for more than a year. In September 1892, with Ricketts's consent and assistance, she took a bookkeeping position with Funke & Ogden. Her return to work therefore occurred with the promisor's approval and fit the independence he sought to give her.

Ricketts paid one year's interest. In the summer or fall of 1892 he told Scothorn's mother that he would pay the note from the proceeds if he sold his Ohio farm. Shortly before his death, he expressed regret that he had been unable to pay the balance. He died on June 8, 1894 and had never repudiated the obligation.

Question Presented

When a grandfather gives his working granddaughter a gratuitous promissory note while reasonably contemplating that she will leave her job, and she does leave in reliance on the note, may his executor assert lack of consideration to defeat enforcement?

Holding

The note arose as a promised gift because Ricketts requested no return performance and Scothorn made no bargained-for promise. Ricketts nevertheless intentionally influenced Scothorn to change her position through reliance he reasonably could foresee. Equitable estoppel therefore precluded his executor from asserting lack of consideration. The court affirmed the judgment enforcing the note.

Reasoning

Bargain analysis: Consideration requires a performance or return promise sought in exchange for the promisor's commitment. Ricketts imposed no condition, requirement, or request. He aimed to give Scothorn financial independence, leaving her free to work or remain idle. Her resignation followed the gift promise as a consequence; it was not the price Ricketts demanded for the note.

Why the note alone did not supply the missing exchange: Putting a gift promise into negotiable-note form supplied written evidence of the promise and its amount. Between the original parties and their representatives, the estate could still raise want of consideration. The enforceability question therefore turned on Ricketts's induced reliance rather than the instrument's form alone.

Charitable-subscription line: The court examined decisions enforcing donation notes after churches, colleges, and similar institutions spent money or incurred obligations in reliance. Those opinions often described the induced expenditure as consideration. The Nebraska court identified equitable estoppel as the principle doing the work: once the donor allowed the institution to incur liabilities on the promised payment, the donor became precluded from using want of consideration to impose the resulting loss on the donee.

Estoppel in pais: The court described equitable estoppel as a right arising from acts, admissions, or conduct that induce another to change position in accordance with the actor's real or apparent intention. The doctrine precludes the actor from later asserting a right against the person who relied in good faith and changed position for the worse.

Application: Ricketts linked the note directly to Scothorn's freedom from work. Her resignation was a reasonable and probable response to his words and the promised six-percent income. She surrendered a present \$10-per-week position and remained out of work for more than a year. That change made enforcement necessary to prevent the loss Ricketts had intentionally induced.

Return to employment: The promise never required lifelong idleness. Ricketts helped Scothorn secure the later position, paid interest, and continued to recognize the note. Her September 1892 employment therefore did not terminate the note or defeat reliance that had already occurred.

Procedural consequence of undisputed facts: The record permitted one legal result. The executor's requested judgment could stand only if lack of consideration remained an available defense. Estoppel removed that defense as a matter of law. A verdict for the executor would have lacked evidentiary support, so alleged trial errors could not have changed the proper judgment.

Doctrinal significance: *Ricketts* predates the First Restatement's Section 90 and uses equitable-estoppel language to enforce reliance on a promise about future conduct. Later writers called this pattern promissory estoppel. The case supplies the classic transition from a fact-based preclusion doctrine to an affirmative reliance-based ground for enforcing promises.

2. Feinberg v. Pfeiffer Co.

322 S.W.2d 163 (Mo. Ct. App. 1959). St. Louis Court of Appeals, Missouri. Doerner, Commissioner; opinion adopted per curiam. Nos. 30183 and 30204; decided March 17, 1959; rehearing or transfer denied April 13, 1959.

Parties

Plaintiff / respondent: Anna Sacks Feinberg, a former Pfeiffer employee who retired in reliance on the corporation's promise of \$200 per month for life. **Defendant / appellant:** Pfeiffer Company, formerly S. Pfeiffer Manufacturing Company, a pharmaceutical manufacturer whose board adopted the pension resolution and whose later management reduced the payments. **Key corporate actors:** Max Lippman, president when the resolution passed; Sidney Harris and Sol Flammer, directors who communicated it; Mrs. Lippman and then Harris, later presidents involved in continuing or questioning payment.

Procedural History

Feinberg sued in the Circuit Court of the City of St. Louis on the corporation's alleged obligation to pay \$200 per month for life after retirement. The parties waived a jury, and the court tried the case. It entered judgment for Feinberg for \$5,100 in accrued pension installments through trial plus interest.

Pfeiffer appealed, challenging evidentiary rulings, factual findings on reliance, and the legal sufficiency of the pension promise. Missouri statutes required the appellate court to review the law and evidence and enter the judgment the trial court should have entered. The court therefore considered admissible evidence and explained that Feinberg's illness at trial did not supply the foundation of liability. Commissioner Doerner recommended affirmance; the court adopted his opinion per curiam. Presiding Judge Wolfe and Judges Anderson and Ruddy concurred. Rehearing and transfer to the Missouri Supreme Court were denied.

Material Facts

Feinberg began working for Pfeiffer in 1910 at age seventeen. By 1947 she served as bookkeeper, office manager, and assistant treasurer. She owned 70 of the corporation's 6,503 outstanding shares: 20 were gifts, 20 she purchased, and 30 came through a stock split or dividend. She received stock dividends and annual employee bonuses from 1937 through 1949, ranging from \$300 to \$2,000.

On December 27, 1947, Pfeiffer's board met under President Max Lippman. The five directors present together owned 5,007 of 6,503 shares. The board recognized Feinberg's long, faithful, skilled service; raised her monthly salary from \$350 to \$400; and adopted a retirement privilege intended as a firm corporate obligation and future security. The resolution allowed her to retire whenever she chose and receive \$200 per month for the rest of her life. It also expressed the directors' hope that she would continue working for many years.

At Lippman's request, Harris and Flammer visited Feinberg that day and told her of the resolution. She had received no advance notice and was surprised. She understood that she could retire immediately. Her employment remained at will: she promised no period of future work, and the corporation retained the power to discharge her. She testified that she would have continued working even if the resolution had never passed.

Feinberg stayed through June 30, 1949, then retired at age fifty-seven while healthy and able to work. She and her husband calculated that his earnings plus the pension would support them. She testified that she would have remained employed without the pension promise. She sought no other employment while the company made the promised payments.

Pfeiffer began paying \$200 on the first day of each month. Lippman died on November 18, 1949. His widow succeeded him as president and continued signing the checks, although she viewed them as gifts. Harris became president in October 1953. A new accounting firm, Ernst & Ernst, repeatedly questioned the payments. In spring 1956, Harris consulted company attorney Ralph Kalish; Harris testified that the accountants and attorney advised the company that it had no payment duty. Pfeiffer sent Feinberg a \$100 check on April 1, 1956. She declined the reduced amount and filed suit.

At trial Feinberg was sixty-five and one-half. A cancer removal and operation performed on November 25, 1957 had left her unable to work. Pfeiffer argued that the trial court improperly relied on this condition. The appellate court located the induced action in her healthy 1949 retirement and treated the later illness and its timing as secondary to the already completed reliance.

Question Presented

Does a corporation's clear promise of a lifetime pension become binding when the promisee receives it as recognition of past service, later retires from a profitable at-will position in actual reliance on it, and enforcement is required to prevent injustice?

Holding

Feinberg's past service and her additional eighteen months of work supplied no bargained-for consideration for the pension. Her retirement, however, was action the company reasonably could expect its pension resolution to induce, and the promise actually caused her to surrender continued gainful employment. Restatement (First) of Contracts Section 90 made the promise binding because enforcement was necessary to avoid injustice. The court affirmed \$5,100 plus interest for the accrued installments.

Reasoning

Past service: Pfeiffer adopted the pension after Feinberg had completed thirty-seven years of service. Those completed acts were rendered under the earlier employment relationship and could not have been sought in exchange for a promise made in 1947. Gratitude for past performance explained the promise's motive while leaving the bargain element unsatisfied.

Continued employment: The resolution gave Feinberg the right to retire immediately and expressed a hope that she would remain. She made no promise to continue, and the company attached no service condition to pension eligibility. Her work from December 1947 through June 1949 therefore occurred without the reciprocal commitment needed to convert the pension into a bargain.

Promissory estoppel: The First Restatement's Section 90 bound a promise that the promisor should reasonably expect to cause definite and substantial action or forbearance, that does cause it, when enforcement alone can avoid injustice. This doctrine addresses reliance on a future commitment. Feinberg's decision to retire supplied the induced action.

Evidence of actual inducement: Feinberg said she could have continued working, used the promised pension in planning household support, and would have stayed with Pfeiffer without it. Her eighteen-month delay showed deliberation rather than a failure of causation. The trial judge credited her testimony, and the record supported that finding.

Foreseeability: The board deliberately created a retirement privilege available whenever Feinberg chose. Retirement was the precise conduct the promise invited. Pfeiffer therefore had reason to expect that its assurance of lifetime income could cause her to leave the position while she remained capable of earning a salary.

Injustice: Feinberg gave up a lucrative, long-held position at fifty-seven and organized her affairs around lifetime payments. Pfeiffer paid for almost seven years before attempting to halve the pension. By then she was older than sixty-three, and comparable employment had become realistically difficult to obtain. The court treated retirement and the passage of employable years as the operative reliance injury.

Later illness: Section 90's induced act was the 1949 retirement. The later illness strengthened the practical consequences of lost employment, yet the date of diagnosis did not control enforceability. A promise that induced the surrender of work could produce injustice through age, elapsed time, and loss of opportunity even before a medical disability appeared.

Use of Ricketts: The court treated Ricketts's annuity-note setting as closely analogous. Each promisor offered future support; each promisee left profitable employment as a foreseeable response; and each promisor later invoked the absence of consideration. *Feinberg* supplied the Restatement label and organized the result directly under promissory estoppel.

Missouri doctrinal history: Missouri decisions had reached reliance-based results through three formulations: induced conduct as consideration, induced conduct as an estoppel, and an implied return promise forming a bilateral contract. The court used the practical rule of Section 90 and described promissory estoppel as the fitting account of a promise enforced through foreseeable, actual reliance.

Remedy: The judgment covered installments already due at trial, with interest. Enforcing the lifetime pension tracks the promise that induced retirement and protects Feinberg from the continuing loss created when she surrendered employment. Section 90 supplies remedial flexibility, and the facts supported enforcement of the promised monthly amount.

3. Cohen v. Cowles Media Co.

501 U.S. 663 (1991), reversing 457 N.W.2d 199 (Minn. 1990) and remanding; on remand, 479 N.W.2d 387 (Minn. 1992), rehearing denied, 481 N.W.2d 840 (Minn. 1992). White, J., for the U.S. Supreme Court majority; Simonett, J., for the Minnesota Supreme Court on remand.

Parties

Plaintiff / U.S. Supreme Court petitioner: Dan Cohen, an experienced political and public-relations participant associated with Wheelock Whitney's Independent-Republican gubernatorial campaign. **Defendants / respondents:** Cowles Media Company, publisher of the Minneapolis Star and Tribune, and Northwest Publications, Inc., publisher of the St. Paul Pioneer Press Dispatch. **Reporters:** Lori Sturdevant of the Star Tribune and Bill Salisbury of the Pioneer Press, who promised anonymity and objected when editors overruled them. **Subject of the records:** Marlene Johnson, Democratic-Farmer-Labor candidate for lieutenant governor.

Procedural History

Cohen sued both publishers in Minnesota state court for breach of contract and fraudulent misrepresentation after the newspapers identified him and his employer fired him. The trial court rejected the publishers' First Amendment defense. A jury found liability on both theories, awarded \$200,000 in compensatory damages jointly and severally, and awarded \$250,000 in punitive damages against each newspaper on the fraud claim.

In a 2-1 decision, the Minnesota Court of Appeals held that Cohen had not proved fraud because the reporters intended to keep their promises when they made them. It vacated the two punitive awards, upheld contract liability, and affirmed the \$200,000 compensatory award. *Cohen v. Cowles Media Co.*, 445 N.W.2d 248 (Minn. Ct. App. 1989).

The Minnesota Supreme Court affirmed the fraud ruling and reversed the contract judgment. It concluded that the parties understood source confidentiality as a special ethical commitment rather than an arrangement intended to create ordinary contractual liability. During oral argument a justice raised estoppel. The court then considered promissory estoppel even though Cohen had not pleaded it, the jury had not tried it, and the parties had not briefed it. The court focused on Section 90's injustice element and held that judicial balancing of the promise against editorial interests would intrude on First Amendment freedoms. *Cohen I*, 457 N.W.2d 199 (Minn. 1990).

The U.S. Supreme Court granted certiorari, confirmed federal jurisdiction because the state court had actually decided a federal question, and reversed by a 5-4 vote. The Court held that the First Amendment permits application of a generally applicable promissory-estoppel rule to the press. It left Minnesota-law elements, the Minnesota Constitution, public policy, and the verdict's reinstatement to the state court on remand. *Cohen*, 501 U.S. 663 (1991).

On remand, the Minnesota Supreme Court exercised its interest-of-justice authority to decide promissory estoppel on the existing record, declined to create broader protection under the state press clause for this case, found the promise enforceable, and reinstated the \$200,000 compensatory judgment. *Cohen II*, 479 N.W.2d 387 (Minn. 1992). Rehearing was denied at 481 N.W.2d 840.

Material Facts

On October 27, 1982, during the closing days of Minnesota's gubernatorial election, Cohen separately approached Sturdevant and Salisbury. He offered documents connected to a candidate only on the reporters' promises that his identity would remain anonymous, his name would stay out of related coverage, and they would refrain from investigating his own source. Each experienced reporter agreed and intended to honor the commitment. Neither reporter told Cohen that an editor could revoke the assurance.

Cohen disclosed copies of two public court records concerning Johnson. One showed three 1969 unlawful-assembly charges that were dismissed. The other showed a 1970 petit-theft conviction that was later vacated. The files did not contain the underlying circumstances. Johnson told the reporters that the first incident arose from a protest over minority hiring on municipal construction and that the second involved leaving a store with six dollars of sewing materials while distressed by her father's death.

The newspapers interviewed Johnson. The Star Tribune located the original files and learned that Gary Flakne, a Whitney supporter, had retrieved records that had sat untouched for years; Flakne told a reporter that he obtained them for Cohen. Cohen had also told Sturdevant that he planned to offer the documents to other news organizations.

Both editorial staffs independently debated publication. Editors viewed the source's partisan identity and the late-election leak as part of the political story. They also believed a veiled attribution could cast suspicion on others, expected competing media to discover Cohen, and recognized that the Star Tribune had endorsed the Perpich-Johnson ticket. Other staff members urged compliance with the promise and proposed identifying the source only as someone close to the opposing campaign. Sturdevant and Salisbury objected strongly; Sturdevant withheld her byline.

On October 28 both newspapers published Cohen's name, identified his connection to Whitney's campaign, and reported campaign officials' denial of involvement. The Star Tribune also named the advertising firm that employed him. His employer fired him the same day. Cohen sought compensation for lost employment and diminished earning capacity. His claim addressed the economic consequences of the promise's breach rather than reputational or emotional injury from false reporting.

Trial testimony established that promising and protecting source anonymity was a common journalistic practice. The reporters maintained that their promises should have been honored. Editors described source protection as extremely important and could recall no comparable instance in which an editor overruled an anonymity promise. Cohen, who had journalism-related experience, relied on that established practice when he demanded and received confidentiality.

Cohen testified that he sought anonymity because he feared retaliation from media and political actors. His background included work as a lawyer, stockbroker, public-relations official, author, freelance newspaper columnist, campaign worker, candidate, and elected official. That experience informed both his understanding of source protection and the courts' treatment of his identity as political information.

Question Presented

U.S. Supreme Court: Does the First Amendment bar recovery under a state's generally applicable promissory-estoppel law when newspapers break promises of source confidentiality and publish truthful information? **Minnesota on remand:** Does the record establish promissory estoppel under state law, and should the existing \$200,000 verdict be reinstated?

Holding

U.S. Supreme Court: The First Amendment permits application of Minnesota's generally applicable promissory-estoppel doctrine to the press. Judicial enforcement constitutes state action, yet the doctrine regulates promises across ordinary transactions and places no press-specific burden. The Court reversed and remanded without reinstating damages. **Minnesota Supreme Court:** The reporters gave a clear promise designed to induce disclosure; Cohen relied by delivering the records; publication caused his job loss; and the circumstances required a remedy to prevent injustice. The court reinstated the \$200,000 compensatory judgment.

Reasoning

Fraud claim: Fraud based on a future act requires proof that the speaker lacked an intention to perform when the representation was made. Sturdevant and Salisbury intended to protect Cohen and objected when their editors overruled them. That undisputed intent defeated fraudulent misrepresentation and removed the only basis for punitive damages.

Contract claim in Cohen I: Minnesota treated the reporters' assurance as clear yet understood the source-reporter relationship as an ethical commitment outside ordinary legal contracting. The court emphasized oral and often open-ended confidentiality, editorial evaluation after information arrives, uncertain duration, and the participants' lack of intent to create standard contractual liability. It therefore used promissory estoppel's injustice inquiry to assess the promise's substance and setting.

Federal jurisdiction: The publishers argued that the promissory-estoppel issue originated in the state supreme court and rested on state law. The U.S. Supreme Court had jurisdiction because the Minnesota court actually decided the federal constitutional question and clearly grounded its result on the First Amendment. The publishers had also invoked the First Amendment throughout the litigation.

State action: Promissory estoppel creates obligations enforceable through the official power of state courts. A damages judgment therefore activates Fourteenth Amendment state-action analysis and subjects the application of state law to First Amendment limits.

Generally applicable law: Minnesota's doctrine governs promises in citizens' daily transactions and does not target press content, speakers, or publishers. The Court placed it with labor, antitrust, tax, copyright, subpoena, and similar rules that bind the press on the same terms as other actors. Its application requires newspapers to bear the legal consequences of commitments they choose to make.

Acquisition and self-imposed obligation: The newspapers obtained Cohen's identity together with a promise restricting its use. The majority treated resulting damages as a cost tied to the manner in which the information was acquired. The parties themselves defined the confidentiality obligation; the state supplied a general enforcement rule.

Truthful-publication precedents: The publishers relied on cases requiring an interest of the highest order before government penalizes publication of lawfully obtained truthful information. The majority distinguished those decisions because the challenged liability arose from a generally applicable promise doctrine and the newspapers obtained access through the assurances at issue.

Nature of Cohen's damages: Cohen sought economic losses caused when breach of the anonymity promise cost him his job and reduced earning capacity. The claim did not seek redress for a false statement, injured feelings, or reputational harm. The majority therefore declined to import the constitutional elements governing defamation and related speech torts.

Federal disposition: The Supreme Court decided the federal barrier and stopped there. State courts retained responsibility for the elements of promissory estoppel, any broader state constitutional protection, public-policy defenses, and an appropriate remedy. That division explains why the federal Court reversed while declining Cohen's request for immediate reinstatement of the verdict.

Blackmun dissent: Justice Blackmun, joined by Justices Marshall and Souter, treated the liability as a direct burden on publication of truthful political information. He applied the highest-order-interest standard from the truthful-publication cases and found Minnesota's interest in enforcing this promise insufficient. He also viewed *Hustler Magazine v. Falwell* as showing that a generally applicable cause of action remains subject to speech protections when publication itself triggers liability.

Souter dissent: Justice Souter, joined by Justices Marshall, Blackmun, and O'Connor, favored case-specific constitutional balancing. Cohen's partisan identity carried substantial value to voters evaluating an election-eve leak. In his view, the public interest in unfettered publication outweighed the state's promise-enforcement interest on these facts, while other confidentiality settings could support liability.

Late use of promissory estoppel on remand: Minnesota ordinarily holds parties to the theories tried. It used its appellate interest-of-justice authority because enforceability of the anonymity promise had driven the case from the beginning, the trial evidence addressed the same facts, contract and promissory estoppel were closely related, both sides had fully briefed the doctrine after remand, and the publishers had a fair opportunity to contest the factual record.

Minnesota Constitution and public policy: Minnesota's press clause has distinct wording and can receive broader construction. The court declined that extension in this first-impression setting. It also required a clear public-policy basis before invalidating an enforceable promise and found Cohen's identity short of the grave importance needed to override this commitment. The record implicated no recognized emergency such as correcting a source's own misstatement or averting substantial libel exposure.

Section 90 elements on remand: The promise was unambiguous. The reporters offered anonymity to obtain the documents, so inducement was intended. Cohen delivered them because of the assurance, and disclosure caused his firing. The injustice issue was a legal policy question for the court. Longstanding newsroom practice, the parties' shared recognition of confidentiality's importance, the reporters' objections, and the absence of a compelling need to identify Cohen supported enforcement.

Damages: Section 90 permits a remedy calibrated to justice. The jury had received a foreseeability instruction allowing losses that arise naturally from breach or from special circumstances within the parties' contemplation. Evidence supported \$200,000 in employment and earning-capacity losses. Because that instruction and record fit promissory-estoppel relief, a new damages trial would duplicate completed work.

Doctrinal significance: *Cohen* shows promissory estoppel operating as a generally applicable state obligation while Section 90's injustice requirement performs case-specific policy work. The procedural arc also separates constitutional permission from state-law entitlement: the U.S. Supreme Court removed the federal barrier; Minnesota then supplied liability and remedy.

4. D & G Stout, Inc. v. Bacardi Imports, Inc.

923 F.2d 566 (7th Cir. 1991). U.S. Court of Appeals for the Seventh Circuit. Cudahy, J., joined by Posner and Flaum, JJ. Argued September 14, 1990; decided January 31, 1991. Later trial decision: 805 F. Supp. 1434 (N.D. Ind. 1992), Miller, J.

Parties

Plaintiff / appellant: D & G Stout, Inc., successor to and formerly known as General Liquors, Inc. The opinions call the operating distributor General. **Defendant / appellee:** Bacardi Imports, Inc., a major liquor supplier that used General as its Northern Indiana wholesale distributor. **Relevant purchaser:** National Wine & Spirits Company, the competing distributor that offered to buy General's assets. **Other supplier:** Hiram Walker, whose later withdrawal intensified General's loss of viability.

Procedural History

D & G Stout sued Bacardi in the U.S. District Court for the Northern District of Indiana under diversity jurisdiction. It sought the decline in the sale value of General's business under promissory estoppel. District Judge Robert L. Miller, Jr. granted Bacardi summary judgment. He treated the at-will, open-ended distributorship assurance as a promise on which Indiana law did not permit the claimed reliance.

The Seventh Circuit reviewed the record in General's favor, as summary judgment required. Both parties accepted Indiana law. The appellate court held that an at-will relationship can generate recoverable costs when a foreseeable promise induces the promisee to surrender an existing opportunity. It reversed and remanded for trial, emphasizing that General still had to prove the alleged promise, reliance, causation, and damages.

On remand the district court conducted a bench trial and made findings under Federal Rule of Civil Procedure 52(a). Several facts differed from the assumptions required at summary judgment: Bacardi's commitment depended on market and performance conditions; Bacardi lacked actual knowledge of the National negotiations; and Stout had decided to reject National's July offer before the final July 23 call. The court nevertheless found every element of promissory estoppel under an objective foreseeability standard. It awarded D & G Stout \$394,050 in reliance damages and \$116,400 in prejudgment interest, for a total of \$510,450. It entered judgment for Bacardi on the separate claims of David and Georgia Stout. *D & G Stout, Inc. v. Bacardi Imports, Inc.*, 805 F. Supp. 1434 (N.D. Ind. 1992).

Material Facts

General was an Indiana corporation based in South Bend. Bacardi was organized outside Indiana and operated primarily from Miami. General had distributed Bacardi products in Northern Indiana at Bacardi's will for more than thirty-five years. Liquor suppliers were consolidating distribution: Indiana's distributor count fell from about twenty in 1980 toward two by 1990.

In spring and early summer 1987, Brown-Forman and Jim Beam withdrew lines that together represented more than half of General's gross sales on the appellate record. The fuller trial record placed their shares at eleven and thirteen percent of General's liquor business and showed General's revenue falling from \$32.5 million to \$19 million. General explored mergers, purchases, downsizing, and closure. President David Stout concluded that the business could remain profitable if it retained Bacardi, Hiram Walker, and Canandaigua and closed the Fort Wayne facility.

Bacardi itself needed a replacement distributor in Southern Indiana after Beck closed. It invited General to a July 9 Indianapolis meeting to evaluate candidates and to assess General's own viability. Earlier that day, National's James LaCrosse approached Stout about buying General. Stout agreed to negotiate.

At the Bacardi meeting, Stout sought a commitment for Northern Indiana. According to the summary-judgment version, he disclosed the contemplated sale and Bacardi emphatically said it intended to remain. The appellate court treated the assurance as open-ended because the parties stated no duration. General and National then negotiated an asset sale over roughly two weeks. Bacardi stayed in frequent contact with General.

By July 22 and 23, General and National had settled the financial terms and Stout faced the final decision. On the appellate record, Stout again sought assurances, Bacardi unequivocally recommitted, and Stout told Bacardi that he would reject National's offer and continue operating. General rejected the offer on July 23. Bacardi decided that afternoon to transfer the line, informed General on July 30, and selected a statewide distributor.

The industry quickly learned of Bacardi's decision. Hiram Walker withdrew by August 3 because it believed General could not continue without Bacardi. Employees left for the two surviving distributors, one of which was National. General reopened negotiations with National from a weakened position. The parties executed an agreement August 14 and closed August 28. The appellate record described the accepted price as \$550,000 below the July proposal.

At the later bench trial, the court found that Bacardi had promised to continue while General met sales expectations and market conditions remained stable. Bacardi repeatedly reaffirmed that commitment and urged General to pursue continued operation. Bacardi knew General's survival depended on the account and should have expected General to remain in business and give up exit opportunities, even though Bacardi had missed the specific National negotiations.

The trial record also refined the price comparison. National's July proposal would have yielded \$3.109 million. The August sale yielded \$1.956 million, while General retained some furniture, equipment, and the Fort Wayne property. The court credited \$103,050 in net loss on retained personal property, \$250,000 on inventory, \$5,000 on receivables, and \$36,000 on South Bend real estate. It excluded Fort Wayne carrying costs because General had placed that facility on the market before Bacardi's promise and would have incurred them under either course.

Question Presented

At the summary-judgment stage, did Indiana promissory-estoppel law permit General to seek the value of a known sale opportunity it allegedly surrendered in reasonable reliance on Bacardi's assurance of a continuing at-will distributorship?

Holding

Yes. The at-will relationship prevented General from recovering expected future profits from Bacardi sales because the assurance supplied no determinate future term. It still could support reliance damages for the existing National opportunity General allegedly surrendered. Bacardi knew General was deciding whether to sell, repeatedly encouraged continued operation, and could reasonably foresee an immediate loss in bargaining position if it withdrew. The Seventh Circuit reversed summary judgment and remanded for proof at trial.

Reasoning

Indiana's Section 90 rule: A promise becomes binding when it foreseeably induces action or forbearance and enforcement is necessary to avoid injustice; relief may be calibrated to justice. The appellate question concerned the character of General's injury and the assurance's legal effect during an immediate business decision.

At-will relationship: Bacardi retained power to end the distributorship because its assurances stated no definite term. That power set General's contractual expectation and supplied no guaranteed stream of future Bacardi profits.

Employment analogy: An indefinite at-will job promise supplies no fixed future wage term because discharge can follow hiring immediately. Indiana cases still protect reliance costs such as moving expenses and wages surrendered during preparation for the promised job.

Expectation and reliance: Expected profits measure the value future performance would have produced. Reliance restores losses caused by changing position. General sought a priced July sale alternative it surrendered in choosing continued operation; Bacardi's withdrawal then destroyed that opportunity and General's leverage.

Nature of National's offer: National already distributed a competing rum and assumed it would not retain Bacardi. The price decline therefore measured General's loss of an independent-operation alternative, which changed a going-concern negotiation into a forced sale, rather than the capitalized value of future Bacardi profits.

Foreseeability on the appellate record: General repeatedly described the negotiations and linked its choice to Bacardi's commitment. Bacardi sought updates and recommitted while Stout considered rejection. An immediate withdrawal could predictably devalue the opportunity General surrendered.

Reasonableness and duration: The court left the reasonable reliance period for trial. Context could support reliance through the immediate sell-or-continue decision, and the short interval among assurances, rejection, and withdrawal strengthened the claim.

Summary-judgment discipline: The Seventh Circuit drew supported inferences for General. Its legal rule controlled on remand, while the trial judge found what actually happened. Bacardi's lack of actual knowledge and conditional promise refined the application after trial.

Later trial application: Objective foreseeability covered the general form and extent of reliance. Bacardi knew its commitment was essential to General's continued operation in a consolidating market. The court found that the promise induced actual, reasonable, definite, and substantial forbearance of exit opportunities.

Later remedy and doctrinal significance: The court compared the rejected July terms with actual August recoveries and awarded \$394,050 attributable to inventory, receivables, South Bend real estate, and other assets. It added five years of eight-percent simple prejudgment interest on the \$291,000 portion calculable without valuation judgment. The total judgment of \$510,450 illustrates Section 90's instruction to tailor relief to proven reliance. The case separates the duration of the promised relationship from the period of reasonable reliance used to make an immediate decision, and it distinguishes hoped-for profit from the opportunity actually surrendered.

PART II - ASSIGNED DOCTRINAL TEXTS

1. From Equitable Estoppel to Promissory Estoppel

Doctrinal development reflected in *Ricketts v. Scothorn*; Samuel Williston, *The Law of Contracts* Section 139 (1920); Restatement (First) of Contracts Section 90 (1932); Restatement (Second) of Contracts Section 90 (1981).

Parties / Governing Actors

Representor: a person whose statement, concealment, or conduct gives another a factual basis for action. **Promisor:** a person who manifests a commitment about future conduct. **Reliant party:** the person who reasonably changes position because of the representation or promise. **Court:** the institution that precludes an inconsistent factual position under equitable estoppel or grants calibrated enforcement under promissory estoppel.

Procedural History / Historical Development

Traditional estoppel in pais developed as a doctrine of preclusion. A party who induced reasonable reliance on a representation of existing or past fact became unable to assert an inconsistent factual position in later litigation. The doctrine protected transactional good faith by holding the representor to the factual premise the representor created.

Nineteenth-century American courts confronted promises of future gifts, charitable subscriptions, pensions, land interests, and family support that produced serious reliance without a bargained exchange. Courts used several doctrinal explanations: they called the induced action consideration, found an implied return promise, or used equitable estoppel to prevent the promisor from pleading want of consideration.

Ricketts v. Scothorn illustrates the transitional form. Ricketts made a future payment promise and accurately intended to pay when he made it. Scothorn relied on the commitment itself by leaving work. The Nebraska Supreme Court nevertheless used equitable-estoppel terminology and precluded the estate from asserting lack of consideration.

Samuel Williston popularized the term promissory estoppel in his 1920 contracts treatise to identify reliance on a promise rather than reliance on a statement of fact. The American Law Institute gave the doctrine a general formulation in Restatement (First) of Contracts Section 90 in 1932. Courts including *Feinberg* then applied that rule directly as a basis for enforcing gratuitous promises that induced retirement or other substantial change.

Restatement (Second) of Contracts Section 90, published in 1981, broadened the text to include action or forbearance by a third person, removed the First Restatement's express phrase requiring reliance of a definite and substantial character from the operative sentence, and stated expressly that relief may be limited as justice requires. Its comments retain the definiteness and magnitude of reliance as factors relating reliance to the remedy sought.

Material Rules

Equitable estoppel: A representation or conduct concerning fact, reasonable and good-faith reliance, a change of position, and resulting unfairness support preclusion of the representor's inconsistent position. The remedy operates on the later assertion and preserves the factual premise created by the earlier conduct.

Promissory estoppel: A commitment concerning future action, objectively foreseeable reliance, actual induced action or forbearance, and an injustice requiring enforcement support legal responsibility for the promise. The remedy responds to the reliance and may range from protection of reliance to enforcement of the promised performance.

Question Presented

Why did courts and commentators create a distinct promissory-estoppel doctrine when equitable estoppel already protected reliance?

Holding / Operative Explanation

The doctrines address different reliance objects and supply different forms of relief. Equitable estoppel holds a party to a factual position the party induced another to accept. Promissory estoppel recognizes a future commitment as binding to the extent justice requires after the promisor foreseeably induces action or forbearance. This distinction gives reliance on promises a direct home within contract law.

Reasoning

Representation and promise: A factual representation asserts a state of the world that can be treated as true in litigation. A promise manifests an intention to act or refrain from acting and justifies an understanding that a commitment has been made. The promisee organizes future conduct around anticipated performance.

Why ordinary equitable estoppel fit awkwardly: A sincere promisor generally makes no false statement about present intention. The later breach does not retroactively transform the original intention into a false fact. The reliance injury flows from unperformed future conduct. Promissory estoppel addresses that causal structure directly.

From defense to affirmative enforcement: Equitable estoppel typically removes an inconsistent claim or defense. Reliance cases such as *Ricketts* required an affirmative payment judgment. Section 90 states when the promise itself becomes binding and authorizes a remedy, giving courts a direct route from induced reliance to relief.

Relationship to consideration: Bargain doctrine enforces an exchange because the promisor sought the return performance or promise as the price of commitment. Promissory estoppel enforces a commitment because the promisor reasonably should have expected reliance, reliance occurred, and justice requires relief. The two grounds can arise from the same transaction and should be analyzed separately.

Reliance quality: The doctrine uses objective foresight to define risks attributable to the promisor. Actual inducement supplies causation. Reasonableness, definiteness, magnitude, and the relationship between the change of position and requested relief guide the injustice inquiry. Formality and commercial context strengthen the evidentiary and cautionary reasons for enforcement.

Remedial development: Early opinions often enforced the promise according to its terms. The Second Restatement makes remedial calibration explicit. Courts may award expenditures, opportunity costs, restitution, specific relief, or full promised performance as required by the particular injustice.

Case progression: *Ricketts* uses equitable preclusion to enforce a gift note after resignation. *Feinberg* uses First Restatement Section 90 to enforce a pension after retirement. *Cohen* treats injustice as an explicit policy question and awards employment losses. *D & G Stout* applies Second Restatement remedial flexibility to a commercial opportunity cost.

Cold-call formulation: Ask what the claimant relied on. Reliance on an asserted fact points toward equitable estoppel. Reliance on a commitment about future conduct points toward promissory estoppel. Then identify the induced change, the injustice created by withdrawal, and the relief proportionate to that injustice.

2. Restitution as an Alternative Basis for Recovery

Restatement (Second) of Contracts Sections 344(c), 370-376; Restatement (Third) of Restitution and Unjust Enrichment Sections 1 and 31-39. Doctrinal source brief.

Parties / Governing Actors

Claimant: the person who transferred money, property, services, or another measurable benefit. **Recipient:** the person whose assets, expenses, or legally protected interests improved through the transfer. **Court:** the institution that identifies the enrichment, determines why retention would be unjust, respects any valid allocation made by contract, and orders return or payment measured by the recipient's gain.

Procedural History / Source Status

Restitution developed from legal and equitable actions including money had and received, quantum meruit for the reasonable value of services, quantum valebant for goods, accounting, rescission, and constructive trust. The 1937 Restatement of Restitution organized unjust enrichment as a coherent source of private-law obligation. The 2011 Restatement (Third) of Restitution and Unjust Enrichment updated that body of law and addresses both independent unjust-enrichment claims and restitution connected to contracts.

The Restatement (Second) of Contracts identifies restitution as one of three protected remedial interests. Sections 370 and 371 require a benefit conferred on the other party and measure money relief by the reasonable value of what the recipient obtained or by the increase in the recipient's property or interests. Sections 373 through 376 address restitution after breach, unenforceability, avoidance, and similar contract settings.

Material Rules

Core unjust-enrichment principle: A person who receives enrichment at another's expense under circumstances that make retention unjust bears liability in restitution. The analysis identifies the benefit, traces it to the claimant, and asks whether a legal basis supports the recipient's retention.

Benefit: Enrichment can take the form of money received, property acquired, services accepted, an expense saved, a liability discharged, or an increase in property value. Restatement (Second) Section 370 limits contract restitution to the extent the claimant conferred a benefit on the other party.

Why retention becomes unjust: Common grounds include mistake, fraud, duress, failed basis, avoidance, ineffective agreement, rescission, or receipt of requested performance followed by material breach. A benefit intended as a gift supplies the recipient a legal basis to retain it. A valid contract can also define the parties' rights and displace an inconsistent unjust-enrichment claim.

Measure: Section 371 permits the court to use the reasonable value of what the recipient obtained from a person in the claimant's position or the extent to which the recipient's property and other interests increased. The selected measure follows justice and the type of benefit. Restitution can exceed the claimant's cost when the recipient received greater value, and it can fall below that cost when the recipient's gain was smaller.

Question Presented

When a claimant cannot establish a bargain or the elements of promissory estoppel, can recovery rest on a benefit the claimant conferred and the defendant unjustly retained?

Holding / Operative Effect

Yes, when the defendant received a measurable benefit at the claimant's expense and the circumstances supply no adequate basis for retention. Restitution enforces the duty to restore that enrichment. Recovery tracks the defendant's gain and therefore may differ sharply from the value of the promised performance or the claimant's reliance loss.

Reasoning

Independent basis of obligation: A bargain grounds liability in exchanged assent. Promissory estoppel grounds liability in a commitment that foreseeably induced reliance. Unjust enrichment grounds liability in the recipient's acquisition or retention of a benefit. The claimant should plead and prove each available basis through its own elements.

Contract-connected restitution: A party who performs and then faces the other party's material breach may choose restitution for the value conferred, subject to governing limits. A party who paid or performed under an agreement that becomes voidable or unenforceable may seek restoration when retention lacks a valid basis. The governing agreement continues to control risks and benefits that its terms validly allocate.

Requested services and quantum meruit: When a recipient requests services and knowingly accepts their benefit in circumstances indicating payment, restitution commonly values the services at a reasonable market rate. This route protects the value received even when an attempted contract lacks an enforceable price or fails on formation.

Volunteers and gifts: Restitution respects a recipient's ability to choose whether to purchase a benefit. A person who officiously imposes services ordinarily creates no payment duty. A donor who intentionally completes a gift creates a valid basis for the recipient's enrichment. Mistake, emergency, incapacity, and other recognized circumstances can justify intervention without prior request.

Restitution and reliance measure different things: Reliance reimburses expenditures and opportunity costs caused by the promise. Restitution removes a gain received from the claimant. A single act can create both: requested construction may cost the builder money and increase the owner's property value. The claimant's records should separate cost incurred from value received.

Remedial forms: Personal restitution produces a money judgment. Proprietary restitution can identify a particular asset, fund, or traceable substitute through remedies such as constructive trust or equitable lien when governing rules permit. Rescission unwinds an exchange and restores transferred performance. Disgorgement addresses gains from qualifying wrongful or opportunistic conduct.

Application to Ricketts: Scothorn gave up wages and employment opportunity, yet her grandfather's estate received no corresponding asset or saved expense from her resignation. Her claim therefore fit induced reliance and enforcement of the note more closely than restitution.

Application to Feinberg: Pfeiffer received nearly forty years of compensated service before the pension promise, and Feinberg testified that the resolution did not induce her next eighteen months of work. Restitution would require identification of an unpaid post-promise benefit attributable to Pfeiffer. Promissory estoppel instead addressed the employment opportunity Feinberg surrendered by retiring.

Application to Cohen: The newspapers received records and a source for a political story. Restitution could ask for the value of that information or the expense saved in obtaining it. Cohen's \$200,000 judgment measured job loss and reduced earning capacity caused by breach, which are reliance consequences rather than the publishers' enrichment.

Application to D & G Stout: General surrendered a favorable sale opportunity and lost bargaining leverage. Those losses did not transfer an equivalent gain to Bacardi. The courts therefore measured the difference attributable to the forgone opportunity as reliance damages and excluded costs General would have incurred under the promised course.

Exam sequence: Identify the transfer; identify the recipient and the enrichment; determine whether the claimant intended a gift or acted officiously; locate any contract allocating the benefit or risk; identify the reason retention would be unjust; choose the proper measure and remedy; and prevent duplicative recovery when bargain, reliance, and restitution theories overlap.

Core synthesis: Restitution offers an alternative when the facts show benefit received. Promissory estoppel offers an alternative when the facts show a promise-induced change of position. The first restores unjust gain; the second supplies the relief required by induced reliance.

3. Restatement (Second) of Contracts Section 90

Promise Reasonably Inducing Action or Forbearance. Restatement (Second) of Contracts Section 90 (1981), including Subsections (1)-(2) and Comments a-d. The operative language is organized and paraphrased.

Parties / Governing Actors

Promisor: the person who makes a commitment and bears the objective risk of reliance the commitment should reasonably induce. **Promisee:** the addressee whose action or forbearance may make the commitment binding. **Third person:** another foreseeable actor whose induced reliance can also satisfy Subsection (1). **Court:** the decisionmaker that determines promise, foreseeability, inducement, injustice, and the form and scope of relief.

Procedural History / Source Status

The American Law Institute adopted the original Section 90 in the Restatement (First) of Contracts in 1932. That version required expected and actual action or forbearance of a definite and substantial character and made the promise binding when enforcement alone could avoid injustice. Courts used it to organize earlier lines involving charitable subscriptions, gratuitous promises, family support, pensions, and precontractual reliance.

The 1981 Restatement (Second) retained foreseeable and induced reliance plus the injustice requirement. It added promisee-or-third-person language, placed remedial limitation in the operative rule, and created a separate subsection for charitable subscriptions and marriage settlements. The comments explain how reliance quality, formality, bargain policy, unjust enrichment, and remedy interact.

Material Text and Element Map

Element 1 - Promise: The promisor must manifest a commitment sufficiently definite for a court to identify the promised course and connect reliance to it. A prediction, opinion, negotiation position, expression of present intention, or statement of hope receives its legal effect from context and the justified understanding it creates.

Element 2 - Reasonable expectation of inducement: The question is objective. The promisor bears responsibility for action or forbearance that a reasonable person in the promisor's position should foresee from the promise's words, setting, relationship, and known purpose. Actual desire for reliance strengthens the case, while the text requires reasonable expectability.

Element 3 - Promisee or third person: Reliance can occur through the promisee or through another person whose response falls within the promise's reasonably expected reach. The third-person language allows enforcement when the commitment is designed to guide family members, lenders, employees, investors, beneficiaries, or other identified actors.

Element 4 - Actual inducement: The promise must cause the relevant action or forbearance. Timing, testimony, contemporaneous communications, alternative motivations, and conduct consistent with an independently made decision bear on causation. Reliance can consist of affirmative expenditure or performance, surrender of an opportunity, retirement, movement, disclosure, or refraining from protective action.

Element 5 - Injustice: The promise becomes binding when enforcement is required to prevent injustice. Comment b directs attention to the reasonableness of reliance, its definite and substantial character in relation to requested relief, the promise's formality, the evidentiary and cautionary functions served by the setting, bargain-enforcement policies, and prevention of unjust enrichment.

Element 6 - Remedy: Subsection (1) states that relief may be limited as justice requires. The court can protect expenditures, opportunity costs, benefits conferred, or the promised performance. The same factors that establish injustice guide the character and amount of relief.

Subsection (2): A charitable subscription or marriage settlement can become binding under Section 90 without proof that the promise actually induced action or forbearance. The subsection recognizes the form, social setting, and institutional policies surrounding these promises while preserving the Section 90 framework.

Question Presented

When does reliance make a promise binding despite the absence of a bargained-for exchange, and how much relief does Section 90 authorize?

Holding / Operative Rule

A promise is binding when the promisor should reasonably expect it to induce action or forbearance by the promisee or a third person, it actually produces that response, and enforcement is necessary to prevent injustice. The court may limit the remedy to the extent justice requires. Charitable subscriptions and marriage settlements receive enforcement under Subsection (2) without proof of actual induced reliance.

Reasoning

Promise quality: Section 90 begins with a commitment. The promise must supply enough content to identify the reliance it foreseeably invites and the relief connected to breach. Courts frequently express this requirement as a clear and definite promise. Context can give operational meaning to terms that would appear open-ended in isolation.

Objective foresight: The rule allocates reliance risk according to what the promisor should reasonably expect. Known vulnerability, stated plans, repeated assurances, the seriousness of the setting, and the promisor's involvement in the decision can make action foreseeable. *D & G Stout* shows that the promisor may need to foresee the general kind of reliance rather than every detail of the opportunity surrendered.

Inducement and causation: The claimant must connect the promise to the change of position. *Feinberg* separated two periods: the pension did not cause her to continue working, while it did cause her later retirement. *D & G Stout's* remand record similarly separated the July 9 commitment that affected General's decision from a July 23 call occurring after Stout had decided.

Reasonableness: The promisee's knowledge, experience, access to information, warnings, conditional language, relationship history, customary practice, and available protective steps all bear on reliance. A sophisticated commercial actor can reasonably rely on an informal assurance when the industry and a long relationship give words practical force.

Definite and substantial character: The Second Restatement removed these words from the rule's first sentence while retaining them as injustice factors. Their present function relates the reliance to the remedy. A small or reversible change can support correspondingly narrow relief; retirement, relocation, disclosure of confidential information, or surrender of a priced business opportunity can support substantial relief.

Formality: Writing, deliberation, board action, repeated confirmation, signatures, professional setting, and internal authorization supply evidence of commitment and encourage caution before promising. Ricketts's signed note, Pfeiffer's formal board resolution, and Bacardi's repeated business assurances each perform some of these functions.

Injustice as policy judgment: Courts consider the strength of proof, reasonableness and magnitude of reliance, availability of other remedies, promisor fault, promisee conduct, public policy, and enrichment. *Cohen II* classified this element as a legal question and considered journalistic custom, editorial need, constitutional values, and economic harm.

Remedial spectrum: Expectation relief gives the value of promised performance. Reliance relief restores losses caused by changing position. Restitution restores benefits conferred on the promisor. Specific relief orders promised conduct when money cannot adequately address the reliance. Section 90 allows the court to select and limit among these forms.

Ceiling and causation: Comment d cautions against placing the promisee in a better position than performance would have produced when the promisor received no unjust enrichment. The remedy also excludes losses that the promisee did not cause. The *D & G Stout* remand court used both principles when it excluded Fort Wayne property costs General planned to incur under the promised course.

Full enforcement: Enforcing the promise according to its terms can be the proportionate remedy when reliance reorganizes a long period of life or when installment performance directly addresses the induced risk. *Ricketts* enforced the note, and *Feinberg* enforced the promised pension amount.

Reliance-limited enforcement: Opportunity costs and expenditures can define relief when the promise itself gives no determinate future expectancy. *D & G Stout* allowed the lost sale differential and excluded future Bacardi profits. *Cohen* awarded economic losses caused by disclosure rather than a hypothetical price for permanent secrecy.

Interaction with bargain doctrine: Begin with Restatement Section 71. If the promisor sought the return act or promise in exchange, ordinary consideration supports the commitment. If the act followed as induced reliance rather than bargained price, Section 90 supplies the separate analysis. Ricketts's wish that Scothorn enjoy independence generated foreseeable reliance while requesting no return promise.

Interaction with restitution: Section 90 can consider prevention of unjust enrichment within injustice and remedy. A standalone restitution claim still requires a benefit conferred on the defendant. Theories should remain separately measured so a claimant recovers once for the same economic interest.

Integrated case map: *Ricketts* shows foreseeable resignation and full enforcement through equitable-estoppel language. *Feinberg* shows retirement induced by a formal pension resolution. *Cohen* shows confidentiality reliance, public-policy analysis, and a generally applicable law applied to the press. *D & G Stout* shows commercial reliance on an at-will assurance and careful limitation to a forgone opportunity.

Exam sequence: (1) Identify the exact promise and speaker authority. (2) State the reliance the promisor should reasonably foresee. (3) Prove what action or forbearance actually occurred because of the promise. (4) Evaluate reasonableness, magnitude, formality, alternative remedies, policy, and enrichment. (5) Explain why relief is required to prevent injustice. (6) measure expectation, reliance, and restitution separately. (7) Select the remedy that addresses the proven injustice without duplicate recovery.